1.5 Objectives of Accounting

Following are the objectives of accounting:

(i) To keep a systematic record of financial transactions and events

(ii) To ascertain the profit or loss of the business enterprise

(iii) To ascertain the financial position or status of the enterprise

(iv) To provide information to various stakeholders for their requirements

(v) To protect the properties of an enterprise and

(vi) To ascertain the solvency and liquidity position of an enterprise

1.6 Functions of Accounting

The main functions of accounting are as follows:

(i) Measurement

The main function of accounting is to keep systematic record of transactions, post them to the ledger and ultimately prepare the final accounts. Accounting works as a tool for measuring the performance of the business enterprises. It also shows the financial position of the business enterprises.

(ii) Forecasting

With the help of the various tools of accounting, future performance and financial position of the business enterprises can be forecasted.

(iii) Comparison

Accounting helps to compare the actual performance with the planned performance. It is also possible to compare with the accounting policies. Through comparison of the actual financial results of the business enterprises with projected figures and standards, effective measures can be taken to enhance the efficiency of various operations.

(iv) Decision making

Accounting provides relevant information to the management for planning, evaluation of performance and control. This will help them to take various decisions concerning cost, price, sales, level of activity, etc.



Decision refers to choosing a desirable course of action from alternative courses of action.

(v) Control

As accounting works as a tool of control, the strengths and weaknesses are identified to provide feedback on various measures adopted. It serves as a tool for evaluating compliance of business policies and programmes.



Control refers to comparison of actual performances with planned performances, measure deviation and take corrective action.

(vi) Assistance to government

Government needs full information on the financial aspects of the business for various purposes such as taxation, grant of subsidy, etc. Accounting provides relevant information about the business to exercise government control on business enterprises.

Accountancy - Unit-01.indd 5 12/12/2021 6:12:34 PM